THE HARD ASSET LETTER · A TIDEBRIDGE PUBLICATION

# Gold in Correction: A Fifty-Year Perspective

*Deep Dive · June 2026 · For information and education — not investment advice*

## Executive Summary

Gold has fallen by roughly 25% from its late-January record of about $5,600 per ounce. The instinctive conclusion is that the metal failed as a crisis hedge at the very moment a crisis arrived. The historical record says the opposite. In every major geopolitical and monetary shock of the past fifty years, gold sold off in the opening phase — it was the most liquid profit available in a deleveraging market — and then recovered as the monetary consequences of the shock played out.

# PART I — THE METAL: HISTORY, MACHINERY AND THE POLICY INFLECTION

## 1. The Full Fifty-Year Record

An earlier letter showed how gold behaved in each crisis dip and in the year that followed. The full dataset adds the dimension that summary left out: what gold had done in the period before each episode. That is the column that identifies the true relatives of the present correction.

| Episode | Peak → Low | 12M before | 24M before | Peak-to-trough | +12M | +24M |
|---|---|---|---|---|---|---|
| 1973 OPEC embargo | Jul-73 → Nov-73 | +92% | +210% | -29% | +100% | +58% |
| 1979 Iranian Revolution | Oct-78 → Nov-78 | +54% | +110% | -19% | +99% | +219% |
| 1991 Gulf War | Aug-90 → mid-91 | +13% | -4% | -14% | -3% | +8% |
| 2001 September 11 | Sep-01 → Nov-01 | +7% | +11% | -7% | +17% | +45% |
| 2011 EU crisis | Sep-11 → Dec-15 | +54% | +92% | -46% | +8% | +21% |
| 2018 Brexit | Apr-18 → Aug-18 | +7% | +10% | -15% | +29% | +67% |
| 2020 COVID | Mar-20 → Mar-20 | +31% | +29% | -15% | +20% | +34% |
| 2022 Fed / Ukraine | Mar-22 → Sep-22 | +22% | +38% | -22% | +20% | +65% |
| **2026 (in progress)** | **Jan-26 → ?** | **+104%** | **+175%** | **-25% so far** | **?** | **?** |

*Exhibit 1 — Gold around crisis peaks and washout lows, 1973–2026. Approximate London fix / spot; sources: LBMA, Tidebridge's calculations. Past performance is not indicative of future results.*

Three structural points emerge from the table, and each one supports the argument that follows.

**Depth.** If we set aside the four-year secular bear market that ended in 2015, the average crisis drawdown in the sample is about 17%, and the deepest single episode — 1973 — reached 29%. At 25% over four and a half months, the current correction is already mature by any historical standard. The relevant question is therefore not whether the washout has begun, but how much of it is left.

**Sequence.** In every episode, the extremes in sentiment and positioning appeared near the end of the decline, not at the start. Once a drawdown passed roughly 15%, the signal carried little timing risk.

**Lineage.** Reading down the 'before' columns, only 1973 and 1979 were preceded by a rally as large as the one into January 2026. And only 1973 and 1979 were triggered, as this episode was, by an oil shock that pushed inflation up faster than the monetary response could contain it. Those two episodes delivered the two strongest recoveries in fifty years of data (+100% in the 12-month). The 1991 line is kept in the table on purpose: it is the episode that proves conflict alone settles nothing, and it anchors the final section of this report.

## 2. The Engine Room, Extended

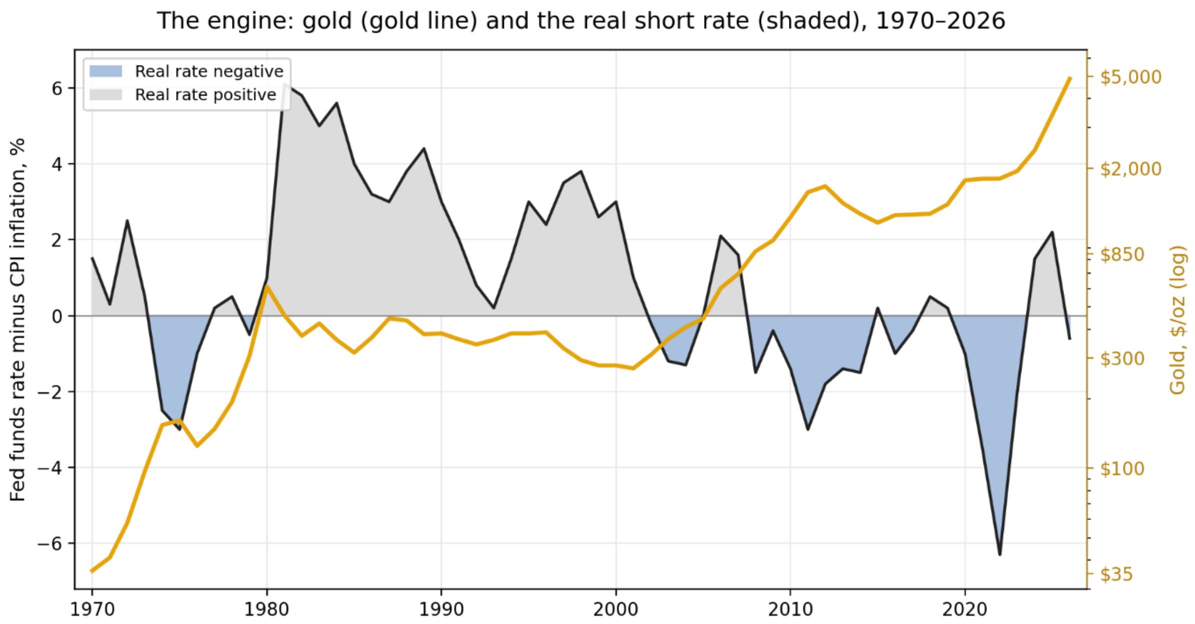


*Exhibit 2 — Gold (blue line, log scale) and the real short rate (Fed funds minus CPI; shaded where negative), 1970–2026. Indicative annual data: Federal Reserve, BLS, LBMA. Source: Tidebridge.*

Gold pays no income, and that single fact organises five decades of price history. Its competition is the risk-free rate, and the contest is settled in real terms — after inflation.

When cash earns visibly more than inflation — the regime Paul Volcker began in 1980, and which held, with interruptions, for two decades — holding gold carries a real cost every year. Capital drains out of it slowly and steadily, whatever the geopolitical backdrop. When cash earns less than inflation, the logic reverses. Every conventional alternative loses purchasing power, and the asset with no yield, no issuer and no default risk becomes the one holding that cannot disappoint.

The 1970s were the extreme case. Nominal rates rose repeatedly across the decade — the funds rate reached double digits twice — yet never caught the inflation created by two oil shocks. Real rates stayed below zero for most of the decade, and gold rose seventeen-fold. The lesson generalises with uncomfortable precision: every durable gold advance of the past fifty years was built on a negative or falling real rate, and every durable decline was built on its restoration.

**Mid-2026 sits exactly at this hinge**. Consumer inflation has accelerated above 4% on the energy shock, while the policy rate stands in the mid-3s. The real short rate has fallen below zero for the first time since 2022 — in the same quarter that gold corrected by a quarter. **This divergence is the analytical heart of the report.** The price has moved as if the inflation-fighting regime were being restored, while the real-rate arithmetic has moved the other way. One of the two readings will prove correct, and which one is not a matter of opinion but of observable policy choices — the subject of Section 4. First, though, the mechanics of the decline deserve attention, because the identity of the sellers bears directly on how durable their selling is.

## 3. Anatomy of the Selling

A correction of this size raises a question the headlines rarely answer: who, exactly, has been selling? Composition matters, because the historical record treats different sellers very differently — and the evidence here is unusually clear.

**The leveraged community.** Gold entered 2026 deeply overbought on every technical measure — a weekly RSI above 80, the price extended well above its 200-day moving average, and momentum oscillators at multi-year extremes — built up through the 2024–25 rally and amplified by December's squeeze in silver. When volatility erupted at once across rates, currencies, equities and commodities this spring, value-at-risk models everywhere demanded smaller books at the same moment. The position sold in such moments is always the same one: liquid, profitable and crowded. Gold became the cash machine of the deleveraging — the exact role it played in 2008 and 2020. Its failure as a short-term hedge is, paradoxically, the proof of how well it had performed: it was sold precisely because it held the gains that could fund losses elsewhere.

**The machines.** Trend-following and systematic strategies carried near-record gold length into the January peak. As the price broke one moving average after another, those signals reversed automatically. Sell-side positioning monitors now place systematic length at a fraction of its peak, with the remaining triggers clustered just below current prices. This selling is price-insensitive by design and exhausts itself through saturation: once the systems are short, they are spent as a source of supply. Historically, that is the precondition for the violent reversals that follow such episodes.

**The fund investor.** Western gold ETFs gave up around 80 tonnes over a few weeks in the spring, with redemptions led by the same North American funds that had taken in record inflows during the rally. Exchange data showed managed-money and retail-proxy categories selling in parallel. Flow models run by industry bodies found the price decline overshooting what real rates and the dollar alone could explain, by a double-digit margin — the statistical fingerprint of forced selling rather than fundamental selling.

**The distressed official seller.** This is the new participant. Several oil-importing central banks, their currencies strained by the energy shock, have sold parts of their gold reserves to defend their exchange rates — flows measured in the tens of tonnes from Ankara to Manila, alongside sustained sales from one sanctioned producer funding a war economy. The supply is real, but its character matters. It is distress selling, tied by construction to the oil price that created it, and it reverses when that pressure eases.

**The fundamental seller.** Beneath the mechanics sits the one seller whose persistence would really matter: the investor responding to hawkish repricing — the prospect that the policy rate rises to meet inflation and restores a positive real rate. This is the only seller on the list whose thesis, if proven right, would turn a violent clean-out into a durable bear market. The record's verdict on composition is clear. Declines dominated by forced and mechanical selling have historically reversed fastest, because once the leverage is cleared and the machines are short, no seller is left beneath the market — 1974 and 2020 had exactly this shape. The durability question therefore comes back, once again, to the real-rate question, which makes the next section the pivot of the report.

## 4. The Policy Inflection: Easing Without Easing

The Federal Reserve meets under a new chairman, with markets priced for tension. Strong employment data has lifted the implied odds of rate increases, even as the administration that appointed the chairman has made its preference for lower rates unmistakable, and the committee he has inherited is described by close observers as the most divided in a generation. The conventional reading frames the meeting as a binary choice: tighten against inflation, or accommodate it. There is a third path, and it is the one professional listeners should be tuned for, because the chairman's long-stated views point straight at it: a central bank can ease financial conditions substantially without touching the policy rate at all, by redesigning the plumbing instead.

### 4.1 The mechanics of the third path

Two instruments dominate that toolkit, and they fit together like lock and key.

**Interest on reserves.** The Federal Reserve currently pays banks roughly the policy rate on more than three trillion dollars of reserve balances — a transfer of more than one hundred billion dollars a year. The new chairman has criticised this for years as a subsidy that pays the banking system to sit still. Cutting or eliminating it does three things at once: it pushes banks out of idle reserves and into bills, loans and money markets, which compresses front-end yields; it restores the central bank's remittances to the Treasury, which visibly eases the federal interest bill; and it can be presented politically as ending a privilege for banks rather than as monetary stimulus.

**The supplementary leverage ratio.** Exempting Treasury securities and reserves from the strictest leverage requirements — offered to the banks as compensation for the lost remuneration — expands the banking system's capacity to hold government debt almost without limit. A durable, regulation-driven bid for Treasuries appears; term premia compress; the government's financing constraint loosens.

Neither step is a rate cut. Together, they are functionally equivalent to one: financial conditions ease and the yield curve is capped from above, while the policy rate — the only number the evening news reports — holds steady or even rises.

One technical point strengthens the framework rather than weakening it. Interest on reserves is, today, the very tool the Fed uses to control its policy rate in an ample-reserves system. Removing it forces a choice between shrinking the balance sheet sharply or tolerating volatile money markets. Any serious move in this direction therefore arrives as a package: reserve-remuneration reform paired with leverage relief and a redesigned operating framework. If the June communication combines criticism of reserve remuneration with regulatory generosity toward bank holdings of government debt, the third path is being paved — whatever the rate decision itself says.

### 4.2 Why this changes gold's response function

For four decades, gold has traded mainly off the level and direction of real policy rates — the relationship shown in Exhibit 2. That relationship assumes a central bank free to set rates against inflation. The third path quietly removes that assumption. Yields stop being a market price of inflation risk and become a managed quantity, held down by regulation and plumbing while inflation runs wherever the supply shock takes it. In that regime, the gap between inflation and yields — the variable gold feeds on — widens by design rather than by accident. Gold stops trading the level of rates and starts trading the integrity of the boundary between the central bank and the Treasury.

History has run this experiment twice, in instructive directions. From 1942 to 1951 the Federal Reserve pegged the entire Treasury curve to finance the war and its aftermath. When inflation surged past 10% in 1947, real yields collapsed to the most negative levels in American history, and the arrangement ended only with the Treasury–Fed Accord of 1951 — the document that created the modern boundary. In the 1970s the boundary held on paper but bent in practice: a Federal Reserve under sustained political pressure repeatedly declined to tighten ahead of elections, and that monetary subordination — more than any single embargo — is what carried gold from thirty-five dollars to eight hundred and fifty.

The lesson is symmetrical, and worth stating both ways. When markets came to believe the boundary had been restored — in 1951, and again after 1980 — gold's great advances ended. When markets came to doubt it, they began. The June meeting will not announce a regime. But its vocabulary will reveal which way the boundary is leaning: the word 'subsidy' applied to reserve remuneration; remittance arithmetic presented as a virtue; balance-sheet language that emphasises composition over size; regulatory relief paired with funding-market commentary; any reference, however oblique, to coordination with the Treasury's issuance calendar. None of those phrases would move the policy rate. All of them would move the boundary — and it is the boundary, not the rate, that the gold market would reprice.

## 5. The Structural Bid

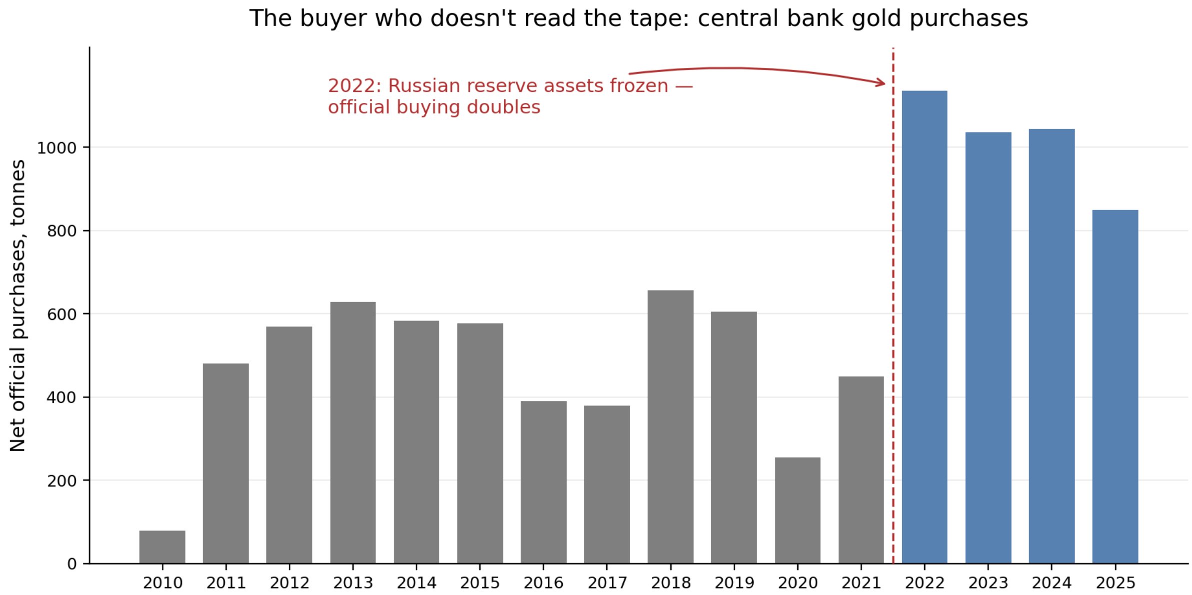


*Exhibit 3 — Net central-bank gold purchases, tonnes, 2010–2025. Indicative data: World Gold Council. Source: Tidebridge.*

Every previous episode in Exhibit 1 played out against an official sector that was either selling gold or absent from the market. Through the 1990s, European central banks sold thousands of tonnes near the lows of the cycle. The freezing of roughly three hundred billion dollars of Russian reserve assets in 2022 ended that world for good: a sovereign's savings, held in another sovereign's currency, were shown to be conditional. Official purchases then doubled to about one thousand tonnes a year — between a fifth and a quarter of annual mine supply — and have held near that pace for four straight years. By late 2025, the gold held by non-US central banks exceeded the market value of their US Treasury holdings, a crossover without precedent in the post-war monetary order.

The current correction has sharpened this picture rather than blurred it. The official-sector sellers are the distressed ones, defending their currencies against the oil shock, while the strategic accumulators have kept buying through the decline, with Chinese imports and reported official purchases accelerating through the spring. The asymmetry deserves emphasis. The distress selling depends on oil staying high and reverses when it falls; the strategic buying depends on a geopolitical fact — the precedent of reserve confiscation — that cannot be undone. A price-insensitive buyer of this scale existed in none of the eight earlier episodes. It does not prevent corrections, as the spring has shown. It determines what they fall onto.

# PART II — THE MINERS: THE LEVERAGED EXPRESSION

Everything to this point concerns the metal. Professional allocators, however, have rarely captured gold cycles through the metal alone, because the producers offer something bullion cannot: operating leverage. A mining company's value is a claim on the margin between the gold price and the cost of extraction. When the price moves, the margin moves by a multiple, and the equity by a multiple of that. The leverage works in both directions — which is why the sector's drawdowns are larger than the metal's — and it is why the condition of the industry at the moment of a washout matters as much as the washout itself.

## 1. The Equity Drawdown in Context

The principal mining equity index peaked at an all-time high in early March 2026 — notably five weeks after the metal's own peak, as record fourth-quarter results and capital-return announcements briefly decoupled the equities from bullion — and has since fallen by about a third, against a quarter for gold. Several features of the decline are diagnostic.

The realised downside beta, at roughly 1.3 times the metal, sits at the very bottom of the sector's historical range of 1.5 to 2.5 times: the margin cushion documented below has visibly dampened the equities' usual amplification. The microstructure of the decline carries the signature of capitulation rather than distribution — single sessions with intraday ranges near 7% on heavy volume, the pattern of forced liquidation rather than patient exit. And sector sentiment has reached the extremes that have historically mattered: the bullish-percent measure of the mining group has spent the decade above 10% in all but four brief windows — January 2016, September 2018, March 2020 and September 2022 — and has now entered the fifth.

| Sentiment washout | Reading | Index +1M | Index +3M | Context |
|---|---|---|---|---|
| January 2016 | ~4% | +30% | +70% | End of four-year bear; sector -80% from 2011 peak |
| September 2018 | ~7% | +15% | +22% | Slow five-month grind; weakest of the four |
| March 2020 | ~3% | +50% | +55% | Eight-session liquidation; fastest recovery |
| September 2022 | ~5% | +20% | +40% | Six-month decline into a tightening cycle |
| **June 2026** | **single digits** | **?** | **?** | **-33% in three months; capitulation microstructure** |

*Exhibit 4 — Decade washouts in mining-sector sentiment and the forward returns that followed. Approximate index data; Tidebridge's calculations. Past performance is not indicative of future results.*

The asymmetry in that table — average forward returns of roughly 30% at one month and close to 50% at three, with even the weakest observation clearly positive — is among the strongest tactical statistics anywhere in listed markets. It has a clean structural explanation: at single-digit breadth, the marginal seller is almost by definition exhausted.

Two refinements matter for professionals. First, forward returns were strongest where the preceding decline was fast and violent (2020) or terminal after a long period of suffering

(2016), and weakest after a slow grind (2018); the present decline — a third in three months — belongs to the first family. Second, the recoveries were front-loaded: between a third and a half of the first year's gain typically arrived in the opening six weeks, before the macro narrative had visibly turned. That front-loading is the historical argument against waiting for full macro confirmation — and equally the argument for the staged approaches discussed later in this report.

## 2. An Industry at Record Margins

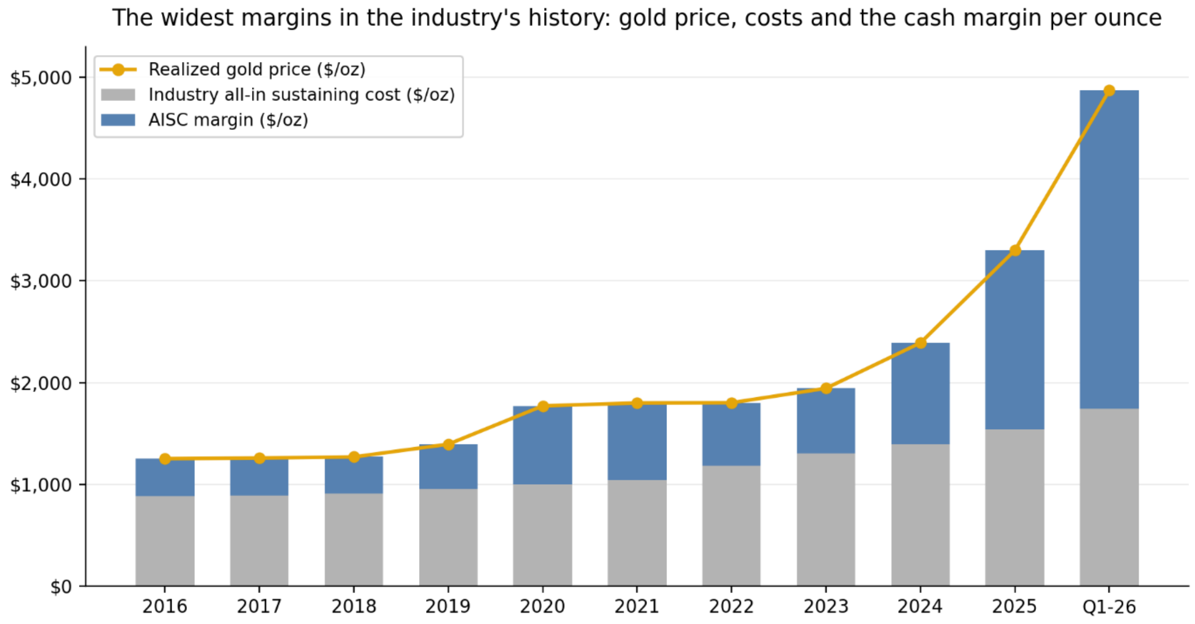


*Exhibit 5 — Realised gold price, industry all-in sustaining costs and the cash margin per ounce, 2016–Q1 2026. Indicative data: company reports, aggregated senior-producer disclosures; Tidebridge's calculations.*

First-quarter 2026 reporting confirmed, without any exaggeration, the strongest fundamental quarter in the industry's history. Across the twenty-five largest constituents of the principal mining index, all-in sustaining costs averaged roughly $1,744 per ounce against realised prices near $4,873 — a cash margin above $3,100 per ounce, with costs absorbing just 36% of the gold price. For perspective, the full-year 2024 margin, itself a record at the time, was about $1,000.

The cash generation that follows from this arithmetic is visible across the senior cohort. One major produced more than three billion dollars of free cash flow in a single quarter, a company record. Another more than doubled its free cash flow year-on-year, to over eight hundred million dollars at margins near $3,500 per ounce, while buying back a quarter of a billion dollars of stock. A third reported costs down 4% year-on-year, even as the sector's nominal cost base rose. Even at the corrected spot price near $4,200, the arithmetic still yields margins around $2,450 per ounce — two and a half times the 2024 record — for an industry whose share counts are flat to shrinking.

### 2.1 The royalty stabiliser: why costs fall when the price does

The quarter's headline cost inflation — all-in costs up roughly a quarter year-on-year — invites a misreading that the detail corrects. Most of the increase was not operational but contractual: price-linked royalties and profit-sharing arrangements that scale with the gold price itself. One major producer reported royalties absorbing a quarter of total operating costs; at another, royalty payments rose 126% year-on-year; mine-level analyses attribute between two-thirds and five-sixths of the sector's unit-cost increase to royalty escalation alone.

The implication is asymmetric and favourable at exactly this point in the cycle. As the gold price falls, this cost component deflates automatically, cushioning margins on the way down — a stabiliser no previous cycle had at this scale. The genuine cost risks are identifiable and modest by comparison: diesel exposure to the oil shock (one senior discloses sensitivity of about ten dollars per ounce for each ten-dollar move per barrel) and labour, with a lag. Measured excluding royalties, underlying operational discipline remains intact.

### 2.2 The margin arithmetic across prices

| Gold price | Modelled AISC | Cash margin / oz | vs Q1-26 margin | vs FY-2024 margin |
|---|---|---|---|---|
| $3,600 | ~$1,690 | $1,910 | -39% | +91% |
| **$4,200 (spot area)** | **~$1,735** | **$2,465** | **-21%** | **+147%** |
| $4,800 | ~$1,785 | $3,015 | -4% | +202% |
| $5,400 | ~$1,830 | $3,570 | +14% | +257% |

*Exhibit 6 — Industry margin arithmetic at different gold prices. AISC modelled as ~$1,400/oz of price-independent cost plus ~8% of the gold price in royalty-linked components, calibrated to Q1-26 disclosures. Static sensitivity, not a forecast. Source: company reports, Tidebridge's calculations.*

The table is arithmetic, not a forecast, and its message is the asymmetry. Even at gold prices a further 15% below spot — below every crisis low in the fifty-year sample relative to the preceding peak — the industry's margin would still be nearly double its 2024 record. The downside in the business, as distinct from the equity price, is shallow, while the upside reconnects automatically to any recovery in the metal. That gap between business risk and price risk is the analytical core of the mining case at this correction.

## 3. What the Equities Are Discounting

Reverse-engineering the gap — applying historical mid-cycle multiples to current equity prices — implies an embedded long-term gold assumption of around $3,700 to $3,900 per ounce. That is below every technical and structural support discussed in this report, and at a level where the margin arithmetic above would still show the industry earning twice its 2024 record. On conventional metrics the dislocation is just as visible: the senior cohort trades at roughly 5 to 7 times enterprise value to operating cash flow, with double-digit free-cash-flow yields — multiples last seen at the 2022 lows — against 8 to 10 times at comparable points in earlier cycles; the intermediate and developer cohorts trade at deeper discounts still, with several fully financed development assets marked below half of their net asset value on spot-price assumptions. In short, equity markets have priced the bear case for the metal into businesses whose cash generation would survive it.

### 3.1 Why this is not 2013

The standard objection to gold equities — that the industry turns high prices into value-destructive growth — described the 2011–13 cycle accurately and describes the current one not at all. The contrast is worth itemising, because it is the difference between a sector that compounds a recovery and one that squanders it. Then: top-of-cycle acquisitions at full premiums, ballooning development budgets, rising share counts, net debt across the cohort, and costs that chased the gold price higher until margins vanished. Now: free cash flow directed first to shareholders, with formal return policies committing meaningful fractions of cash flow to dividends and buybacks standard across the senior cohort; net cash or near-net-cash balance sheets; growth capital confined to brownfield expansions with measured returns; merger activity that has stayed bolt-on and discipline-priced; and share counts that are falling. **The consequence for an allocator is direct: per-share leverage to a recovering gold price is higher today than at any prior cycle entry in the modern record, because for the first time the denominator is shrinking while the margin expands.**

### 3.2 The spectrum of expression

Professional allocators distinguish four strata within the sector, ordered by operating leverage.

**Royalty and streaming companies** — owners of revenue interests rather than mines — carry the lowest beta, structural insulation from cost inflation, and the steadiest compounding. Their premium ratings have compressed along with the complex, which is unusual.

**Senior producers** offer liquid, diversified exposure to the margin story, with the strongest capital-return programmes.

**Intermediate producers** have historically shown the widest gap between valuation and cash generation; and, as senior free cash flow accumulates, they are where consolidation interest naturally migrates.

**Junior developers and explorers** carry the highest beta and the deepest current discounts, with one important caveat: their access to financing is itself cyclical and returns with the sector's recovery rather than ahead of it.

The strata behave differently enough through a cycle's turn that professional positioning has historically moved down this ladder as confirmation accumulates. This is a sequencing logic, not a recommendation — recorded here because it recurs in every recovery in the dataset.

## 4. The Street's Verdict: Bank Targets for End-2026

The analysis to this point has been built from first principles — history, real rates, flows, the official-sector bid and the condition of the producers. It is worth closing the loop with an external check: where do the major banks expect gold to trade by the end of 2026? Their published year-end targets, gathered below, were set before and during the correction and have, for the most part, been maintained through it.

| Institution | End-2026 target | vs ~$4,200 spot | Basis of the call |
|---|---|---|---|
| UBS | ~$5,900 | +40% | Diversification and debasement; among the most bullish desks |
| Bank of America | ~$6,000 | +43% | "Fiscal dominance"; gold as the neutral reserve asset |
| Goldman Sachs | ~$5,400 | +29% | Held through the correction; risk skewed to the upside |
| JPMorgan | ~$6,000 | +43% | Central-bank accumulation |
| Citigroup | ~$4,500-$5,000 | +7% / +19% | Cautious near term, higher into year-end |
| BMO Capital Markets | ~$5,000 | +19% | Multi-year uptrend intact; bull case near $6,500 |

*Exhibit 9 — Selected major-bank year-end 2026 gold targets against a corrected spot price of approximately $4,200/oz. Figures are approximate, compiled from bank research notes and press reporting through mid-2026, and are revised frequently. Not a forecast by this publication. Past performance is not indicative of future results. Source: Tidebridge.*

**The direction is near-unanimous.** With one conservative exception, every major desk expects gold to end 2026 at or above today's level, and the cluster of headline targets sits between $5,000 and $5,900 — roughly 20% to 40% above the corrected spot price. The disagreement among forecasters is about magnitude, not direction. The dispersion is itself the signal: a year-end band running from about $4,800 to $6,300 means the Street agrees on the trend and divides only on how far it runs.

**The targets have proved sticky through the correction.** Goldman Sachs raised its year-end figure to $5,400 in January and has held it through a single-month decline of more than 10%, describing the risk to its forecast as skewed to the upside. Holding a bullish target through a violent drawdown is, in itself, a statement about conviction. UBS and JPMorgan trimmed their numbers at the margin but kept pointing decisively higher; the most bullish desks, Bank of America and Wells Fargo, continued to model $6,000 and above.

**The targets rest on this report's own pillars.** The banks ground their case in exactly the structural forces set out in the preceding sections: sustained central-bank accumulation, the 'debasement trade' driven by rising sovereign debt, and the prospect of looser financial conditions.

## Synthesis: When the Lines Converge

Investment history rarely offers a single decisive signal. What it offers, occasionally, is convergence: independent lines of evidence, built from unrelated data, all pointing in the same direction at the same time. The reader who has followed this report from the start will now have counted seven.

**1. The historical record.** A drawdown already deeper than every single-episode crisis decline in fifty years except one, in the only configuration — an oil shock after a parabolic advance — that matches the two most rewarding precedents in the sample.

**2. The real-rate machinery.** A real short rate back below zero, with the gap positioned to widen if policy lags the supply shock, as it did in the only true analogues.

**3. The policy inflection.** A live institutional debate whose third path — easing through the plumbing while the rate stands still — would not merely support the metal but change its response function, shifting the market's attention from the level of rates to the integrity of the monetary–fiscal boundary itself.

**4. The flow anatomy.** Selling dominated by the forced and the mechanical — the composition that has historically reversed fastest — with the one fundamental seller's thesis resting on exactly the policy outcome the third path forecloses.

**5. The structural bid.** A price-insensitive official buyer of a quarter of mine supply that existed in none of the prior episodes, still accumulating through the decline.

**6. The industry itself.** Record margins, fortress balance sheets, shrinking share counts and capitulation-grade sentiment — a combination that has never before coincided with a drawdown of this depth.

**7. The Street's verdict.** A near-unanimous body of major-bank targets clustered 20% to 40% above the corrected price, built independently on the same structural pillars.

> ***Our take:*** *the long view exists for exactly this moment. When the pattern resolves — and the weight of the evidence says it will — it should arrive as recognition, not as surprise. The investors who one day describe June 2026 as the obvious entry point are the ones doing the reading now, while it is still uncomfortable.*